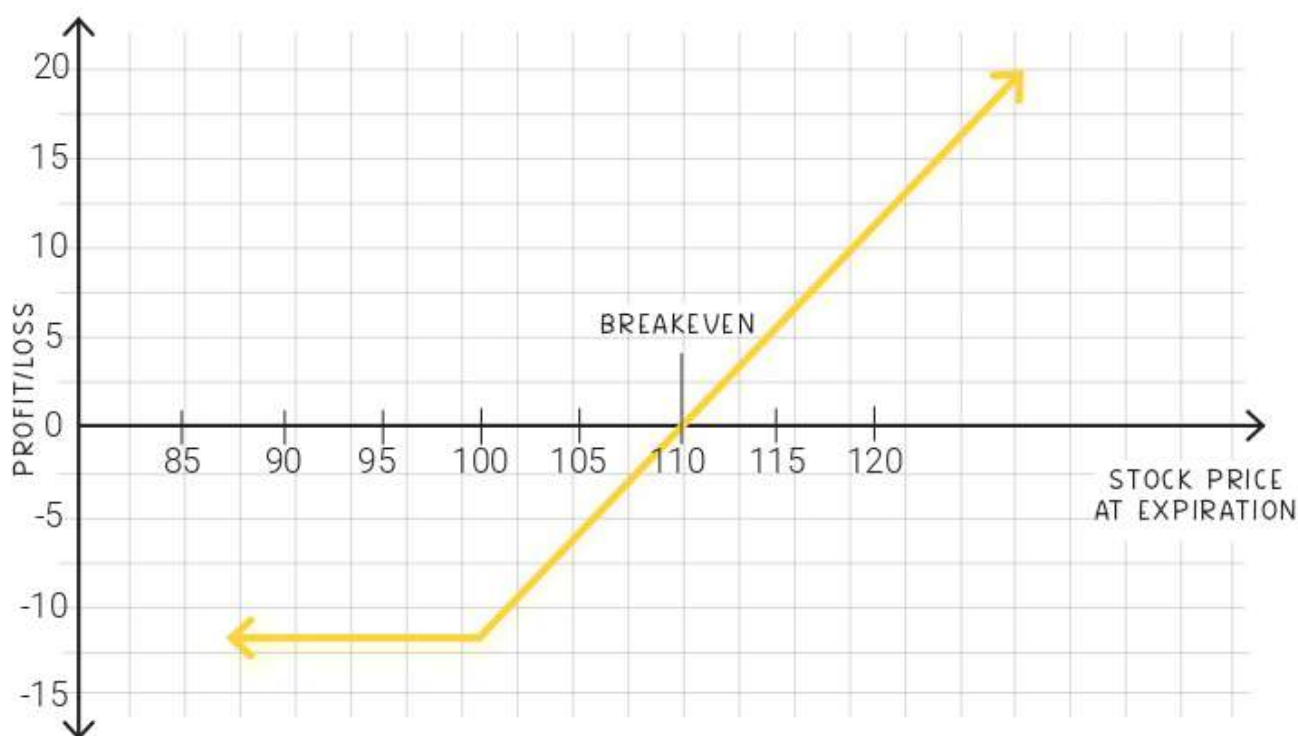
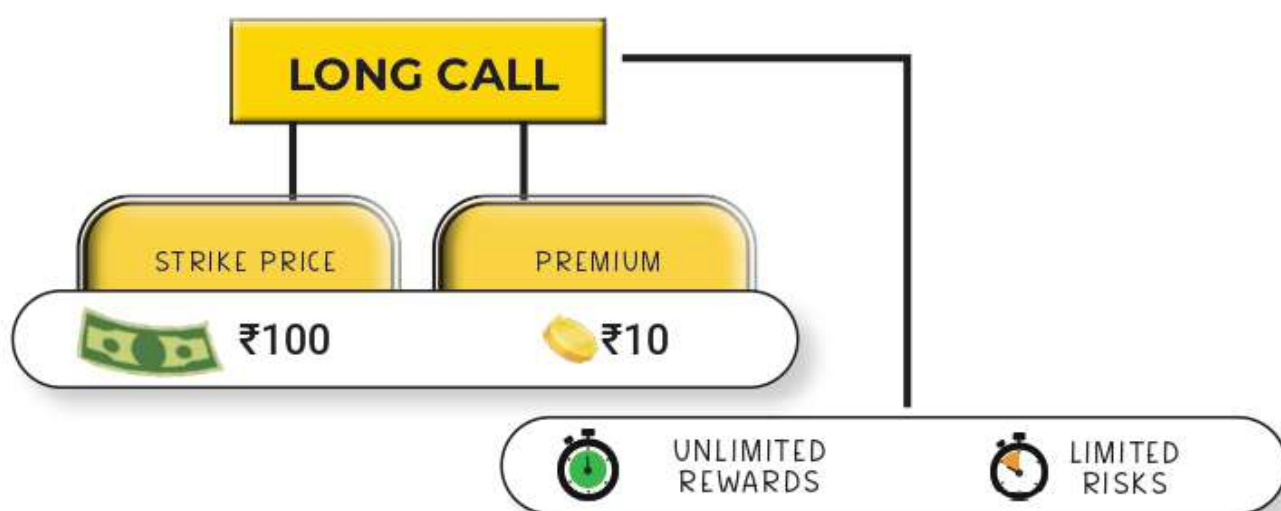


6.2 UNDERSTANDING PAYOFF CHARTS FOR CALL OPTIONS

PAY-OFF FOR CALL BUYER

Suppose that Mr. X buys a call option at a Strike price of ₹100 and pays a premium amount of ₹10 for the same.



In the graph above, we have Profit or Loss on the Y-axis and Price of the Stock at the expiration on the X-axis.